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Case Number: 25NNCV01500 Hearing Date: July 17, 2026 Dept: D

TENTATIVE RULING

Calendar: 3

Date: July 17, 2026

Case No: 25NNCV01500 Trial Date: Not yet set

Case Name: Xiao v. Ma, et al.

DEMURRER

[CCP § 430.10 subd. (e)]

Moving Party: Defendants, Xuetang Ma, CTOUR Investment Holding Inc., and CTOUR Holiday LLC

Responding Party: Plaintiffs, Anna Xiao and Roy Ruosong Fan

Deficiencies to Note:

Defendants assert that neither the SAC nor the opposition were properly served on them.

RELIEF REQUESTED:

Sustain demurrer to the Second Amended Complaint.

CAUSES OF ACTION: from Second Amended Complaint

- 1) Breach of Contract
- 2) Breach of Implied Covenant of Good Faith and Fair Dealing
- 3) Negligence
- 4) Fraud/Misrepresentation
- 5) Breach of Express Warranty
- 6) CLRA Violations
- 7) Intentional Infliction of Emotional Distress

SUMMARY OF FACTS:

Anna Xiao ("Xiao") and Roy Ruosong Fan ("Fan") (collectively, "Plaintiffs") allege that in August of 2024, they entered into a contract with MEBO Travel Group Inc. ("MEBO") for an 11-day, 9-night tour of Singapore, Malaysia, and Thailand. Plaintiff alleges that MEBO is the authorized retail sales agent of defendant CTOUR Holiday, LLC ("CTOUR Holiday") which created and manufactured the tour package. The Second Amended Complaint (the "SAC") alleges that CTOUR Holiday is a wholly owned subsidiary of defendant CTOUR Investment Holding Inc. ("CTOUR Holding") and that CTOUR Holding and CTOUR Holiday operate under the combined brand name CTOUR/Universal Vision together with Universal Vision Holdings Corporation ("Universal Vision"). The SAC further alleges that defendant Xuetang Ma, also known as Mark Ma, ("Ma") is the CEO of CTOUR Holding and CTOUR Holiday.

Plaintiffs allege that the MEBO travel itinerary directly incorporates CTOUR Holiday's terms and conditions throughout the document, including terms that state that "CTOUR/Universal Vision reserves the right to appropriately adjust the itinerary order to facilitate tour group operations and ensure smooth travel, but will not reduce items included in the itinerary." Plaintiffs allege that the tour was marketed and sold as a "Platinum Exclusive" premium experience that would include five-star hotel accommodations, authentic fine dining experiences including a Michelin-starred restaurant meal, no mandatory shopping activities, and would provide a premium, high-quality travel experience justifying the premium price Plaintiffs paid. Instead, Plaintiffs allege that they received a substandard tour that bore no resemblance to what was advertised and sold.

Plaintiffs allege that they were provided with two-star to three-star hotel accommodations, and substandard and unsanitary meals. Plaintiffs allege that in Thailand, they were merged with a low-budget domestic shopping tour group from China, receiving the same treatment and food as participants in this budget tour, despite having paid a premium price for a "Platinum Exclusive" experience with no shopping. Plaintiff Xiao alleges that as a result of consuming unsanitary food provided during the tour, she contracted food poisoning leaving her unable to fully participate in tour activities. On the last evening, although the contract promised a Michelin-starred dinner, no such meal was provided. The SAC further alleges that on several occasions Plaintiffs were taken on mandatory shopping activities.

Following the tour, Plaintiffs submitted a written complaint to MEBO detailing the substandard conditions and requesting compensation, which MEBO transmitted to CTOUR Holiday. CTOUR Holiday provided a written response to Plaintiffs' complaint apologizing for their experience and offering compensation of \$100 per person. In total, Plaintiffs allege that they have incurred approximately \$20,694.97 in trip-related expenses in reasonable reliance on Defendants' representations regarding the "Platinum Exclusive" tour package.

ANALYSIS:

A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747; CCP, § 430.10, subd. (e).)

To sufficiently allege a cause of action, a complaint must allege all the ultimate facts—that is, the facts needed to establish each element of the cause of action pleaded. (Committee on Children's Television, Inc. v. General Foods Corp. (1983) 35 Cal.3d 197, 212, superseded by statute as stated in Branick v. Downey Savings & Loan Assn. (2006) 39 Cal.4th 235, 242.) "[E]ach evidentiary fact that might eventually form part of the plaintiff's proof need not be alleged." (C.A. v. William S. Hart Union High School Dist. (2012) 53 Cal.4th 861, 872.)

In testing the sufficiency of the cause of action, the demurrer admits the truth of all material facts properly pleaded. (Aubry v. Tri-City Hospital Dist. (1992) 2 Cal.4th 962, 966-67.) Courts read the allegations liberally and in context. (Taylor v. City of Los Angeles Dept. of Water and Power (2006) 144 Cal.App.4th 1216, 1228, disapproved on other grounds, Jones v. Lodge at Torrey Pines Partnership (2008) 42 Cal.4th 1158, 1162.) A demurrer, however, "does not admit contentions, deductions or conclusions of fact or law." (Daar v. Yellow Cab Co. (1967) 67 Cal.2d 695, 713.)

Alter-Ego/Agency Allegations

Defendants demur to the SAC on the ground that Plaintiffs' allegations are directed at MEBO's conduct, and that Plaintiff fails to allege facts sufficient to support liability against CTOUR Investment, CTOUR Holiday or Ma under either an alter ego or agency theory.

Under the alter-ego doctrine, "where a corporation is used by an individual or individuals, or by another corporation, to perpetrate fraud, circumvent a statute, or accomplish some other wrongful or inequitable purpose, a court may disregard the corporate entity and treat the corporation's acts as if they were done by the persons actually controlling the corporation." (Toho-Towa Co., Ltd. v. Morgan Creek Productions, Inc. (2013) 217 Cal.App.4th 1096, 1106.)

"A court may also disregard the corporate form in order to hold one corporation liable for the debts of another affiliated corporation when the latter is so organized and controlled, and its affairs are so conducted, as to make it merely an instrumentality, agency, conduit, or adjunct of another corporation. Thus, where there is such domination of finances, policies and practices that the controlled corporation has, so to speak, no separate mind, will or existence of its own and is but a business conduit for its principal, the affiliated corporations may be deemed to be a single business enterprise, and the corporate veil pierced. Under the 'single business enterprise' doctrine, separate corporations may operate with integrated resources in pursuit of a single business purpose. The 'single-business-enterprise' theory is an equitable doctrine applied to reflect partnership-type liability principles when corporations integrate their resources and operations to achieve a common business purpose." (Id. at pp. 1107-1108, internal citations and quotations omitted.)

The SAC alleges that "CTOUR Holiday is a wholly owned subsidiary of CTOUR Holding, which is listed as its sole member on its Statement of Information filed with the California Secretary of State." (SAC, ¶ 3.) Plaintiff alleges that CTOUR Holding created CTOUR Holiday to conduct its travel business. (SAC, ¶ 13.) CTOUR Holding and CTOUR Holiday share the same principal place of business. (SAC, ¶ 13.) CTOUR Holding, CTOUR Holiday and Universal Vision share common corporate officers. (SAC, ¶ 5, Exs. G-I.) Defendant Ma is the CEO of both CTOUR Investment and CTOUR Holiday. (SAC, Exs. G-I.) The SAC alleges that defendant Ma "personally participated in, directed, authorized, ratified, and controlled the creation, marketing, and sale of the tour package at issue in this action, including the false "Platinum Exclusive" representations contained in CTOUR Holiday's promotional materials." (SAC, ¶¶ 12, 14.) The SAC further alleges that CTOUR Holding, CTOUR Holiday, and Universal Vision operate under the combined brand name CTOUR/Universal Vision. (SAC, ¶ 4.) CTOUR/Universal Vision is referenced in the contractual terms incorporated into the MEBO travel itinerary and the contract identifies CTOUR Holiday as the party imposing the contractual obligations. (SAC, ¶ 8.) The SAC alleges that "CTOUR Holiday is the operating entity that created, manufactured, marketed, and sold the "Platinum Exclusive" tour package at issue, assigned tour code SINBKK11, produced the promotional materials containing the false representations, and controlled the delivery of tour services through its agent MEBO." (SAC, ¶ 10.) The SAC alleges that "CTOUR Holding exercises complete control over CTOUR Holiday's finances, policies, and business practices" and that treating "CTOUR Holding and CTOUR Holiday as separate entities would sanction fraud and promote injustice." (SAC, ¶ 13.) The SAC further

alleges that when Plaintiffs' complained about their trip to MEBO, MEBO transmitted the complaint to CTOUR Holiday who subsequently addressed the issues with Plaintiffs directly. (SAC, ¶¶ 37-41, Exs. C-E.)

These alter-ego allegations are sufficient to avoid demurrer. Detailed pleading is not required to allege an alter ego theory of liability, as Plaintiffs are required to allege only "ultimate rather than evidentiary facts." (Rutherford Holdings, LLC v. Plaza Del Rey (2014) 223 Cal.App.4th, 221, 236.) Moreover, Plaintiffs' allegations here are more specific than alter-ego allegations courts have held to pass muster in other instances. (See, e.g., Rutherford Holdings, LLC, supra, 223 Cal.App.4th at p. 235, First Western Bank & Trust Co. v. Bookasta (1968) 267 Cal.App.2d 910, 915-916.) Assuming Plaintiff's allegations can be proved, Ma and the corporate entities may be held liable.

Defendants also demur to each of the individual causes of action on the same ground, i.e. that Plaintiffs have failed to allege facts establishing a relationship between Plaintiffs and Defendants sufficient to impose liability. As discussed above, however, Plaintiffs have adequately alleged an alter-ego/agency relationship.

Thus, the demurrer is OVERRULED on this ground.

Fifth Cause of Action, Breach of Express Warranties

The California Commercial Code applies only to the sale of "goods." (Commercial Code, § 2106.) "Any affirmation of fact or promise made by the seller to the buyer which relates to the goods and becomes part of the basis of the bargain creates an express warranty that the goods shall conform to the affirmation or promise." (Commercial Code, § 2313 subd. (1)(a).) In addition, "[a]ny description of the good which is made part of the basis of the bargain creates an express warranty that the goods shall conform to the description." (Commercial Code, § 2313 subd. (1)(b).)

Defendants further argue that Plaintiffs cannot assert a cause of action for breach of express warranty because the contract at issue is a contract for services, not goods. (Demurrer, pp. 10:27-1:23.) In the opposition, Plaintiffs assert that "the SAC plausibly alleges that the transaction included a sale of goods" and that meals are within the ambit of the UCC. (Opp., pp. 8:22-9:5.)

In "determining whether or not a contract is one of sale or to provide services, we must look to the 'essence' of the agreement. When service predominates, the incidental sale of items of personal property [] does not alter the basic transaction." (Filmservice Laboratories, Inc. v. Harvey Bernhard Enterprises, Inc. (1989) 208 Cal.App.3d 1297, 1305.)

Here, the contract is a comprehensive travel package including a pre-planned itinerary, scheduled tours, a tour guide, meals, and accommodation. (SAC, ¶¶ 20-25, Ex. A.) The essence of the travel package is the rendition of services—namely guiding, hosting, transporting and facilitating experiences. (SAC, Ex. A.) The meals included in the package are merely incidental to those services. California courts have reinforced this conclusion. For example, in *Pena v. Sita World Travel, Inc.* (1978) 88 Cal.App.3d 642, 644-645, the Court of Appeal determined that a defendant travel agency arranging a tour package was providing a service, not a good or product. (See also, *Ferrari v. Grand Canyon Dories* (1995) 32 Cal.App.4th 248, 259 [finding that a defendant commercial raft trip operator was providing a service for recreational raft transportation, and that use of the raft was merely an incident to this service].)

Plaintiffs request leave to amend, but only in passing. Although leave to amend should be freely granted, "[t]he burden is on the plaintiff to demonstrate the manner in which the complaint can be amended. (*Ross v. Creel Printing & Publishing Company* (2002) 100 Cal.App.4th 736, 748.) "To carry its burden, plaintiff must show the manner it can amend its complaint and demonstrate how that amendment will change the legal effect of the pleading." (*Community Assisting Recovery, Inc. v. Aegis Security Insurance Co.* (2001) 92 Cal. App. 4th 886, 895, citation omitted.)

Plaintiffs have not demonstrated how they might cure the fifth cause of action. As discussed above, the facts otherwise alleged in the SAC do not appear proper for a breach of express warranty claim.

Thus, the demurrer to the fifth cause of action is SUSTAINED, without leave to amend.

Seventh Cause of Action, Intentional Infliction of Emotional Distress

“The elements of a prima facie case for the tort of intentional infliction of emotional distress are: (1) extreme and outrageous conduct by the defendant with the intention of causing, or reckless disregard of the probability of causing, emotional distress; (2) the plaintiff’s suffering severe or extreme emotional distress; and (3) actual and proximate causation of the emotional distress by the defendant’s outrageous conduct. Conduct to be outrageous must be so extreme as to exceed all bounds of that usually tolerated in a civilized community.” (Wilson v. Hynek (2012) 207 Cal.App.4th 999, 1009, citation and ellipses omitted.)

Defendants also argue that Plaintiffs have failed to allege facts demonstrating conduct that is sufficiently extreme or outrageous to support a claim for intentional infliction of emotional distress. (Demurrer, pp. 12:10-13:2.) The SAC alleges that Plaintiffs prepaid a premium price for their trip, traveled to a foreign country and were dependent on Defendants to provide accommodations, transportation, meals, and the daily itinerary. (SAC, ¶¶ 20-26.) Once abroad and reliant on Defendants for these services, Plaintiffs allegedly were served unsanitary food, merged with a low-budget domestic shopping tour group, and subjected to a substandard travel experience that materially differed from the premium experience Plaintiffs had paid for and were promised. (SAC, ¶¶ 26-36.) At the pleading stage, these allegations are sufficient to state a claim for intentional infliction of emotional distress. A trier of fact could conclude that Defendants’ alleged conduct was extreme and outrageous in light of Plaintiff’s particular vulnerability after having paid a substantial sum of money for the trip, traveling thousands of miles away to a foreign country, and being dependent on Defendants for their food, transportation, accommodation, and daily itinerary.

Thus, the demurrer to the seventh cause of action is OVERRULED.

RULING:

Defendants Xuetang Ma, CTOUR Investment Holding Inc., and CTOUR Holiday LLC’s Demurrer is SUSTAINED, without leave to amend, as to the fifth cause of action and OVERRULED as to the remaining causes of action.

Answer to be filed within 10 days.

DEPARTMENT D IS CONTINUING TO CONDUCT AND ENCOURAGE

VIDEO APPEARANCES

If you wish to appear remotely on LACourtConnect, you may register by visiting www.lacourt.ca.gov to schedule a remote appearance. Please note that LACourtConnect offers free audio and video appearances. Department D is now requiring either live or VIDEO appearances, not audio appearances.